**Following the onset of the pandemic in March 2020, India's economy reeled under the impact of three successive waves of Covid-19,** making it hard to surmise how fast the country could make a recovery. After all, Covid had impacted millions of jobs, decimated thousands of micro, medium and small enterprises (MSMEs) and disrupted supply chains.

The Centre announced a slew of measures to support businesses through the pandemic, as part of its Rs 20 lakh crore Aatmanirbhar Bharat package—among them financial succour to MSMEs in the form of collateral-free loans or an impetus to manufacturing through production-linked incentive schemes. These measures were complemented by a string of interest rate cuts by the Reserve Bank of India (RBI), which made loans cheaper, and a moratorium on loan repayments. As Covid receded and things returned to normal, the huge pent-up demand for goods drove up sales and production, even as the government substantially boosted its expenditure on building the country's infrastructure to compensate for the lag in private investment.

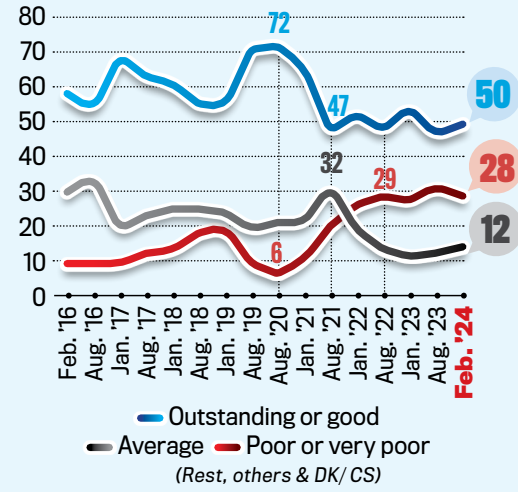


The bounceback from a Covid-induced 5.8 per cent contraction in GDP in FY21 to a 9 per cent and 7.2 per cent growth, respectively, in the next two years bears testimony to the resilience in the economy. For FY24, the Centre expects growth to be 7.3 per cent, maintaining India's position as one of the fastest-growing economies in the world, a striking fact when seen in the context of a phase of low single-digit growth in many large nations. Experts say India needs to grow much faster to create the millions of jobs the country needs every year.

Nevertheless, the optimism over handling the economy persists among the public at large, as the current Mood of the Nation (MOTN) survey reflects. Asked how they rate the NDA government's handling of the economy, 49.7 per cent of the respondents declared it outstanding or good. The public has largely acknowledged the big social measures during Covid and the loan scheme for MSMEs. But as the Modi government puts in more years at the Centre, the appreciation for its handling of the economy seems to be waning. Those who say the handling of the economy is poor or very poor are also a sizeable component—27.6 per cent of those polled. In contrast, only 9 per cent said so in the 2016 MOTN poll.

This decline in the public's appreciation of the Modi regime in handling the economy is evident in the responses to yet another question on who managed the economy better—Modi

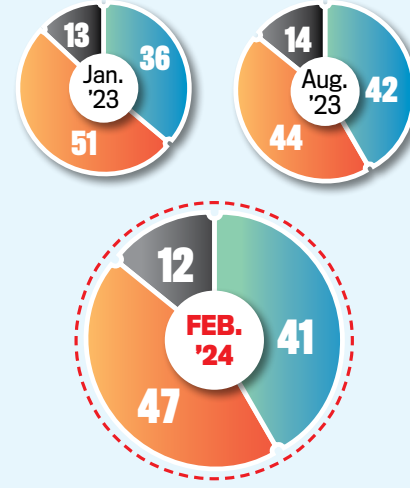
## Q. How do you rate the NDA government's handling of the economy?




*(Rest, others & DK/ CS)*

**Big social measures during Covid and an MSME loan initiative garnered public praise, but dissent on economy management persists**

## Q. Who, in your opinion, has better managed the Indian economy?




**Modi continues to surpass Manmohan, but takes a marginal fall**

*All figures in % and rounded off*